

Closing the Deal

After your bank gives you a mortgage commitment and you have worked out all of the title issues present on your title report, you will be ready to schedule the title closing. Just prior to the scheduled closing date, though, it is important to walk through the house to ensure that all of the seller's commitments have been fulfilled. You must bring a paid homeowner's insurance policy as well as photo identification to the closing.

The seller will prefer payment in the form of a cashier's check or a certified check. These forms of payment are guaranteed by the bank or credit union on which the check is drawn. If there is a pre-existing mortgage on the premises, you must make sure that one of those checks is made out to the seller's lender so that the mortgage is satisfied at closing. Once you receive an executed deed, you'll get the keys to your new home!

Understanding Closing Costs

Closing costs are all of the costs associated with the transfer of the property, the processing of your mortgage, and the fees charged by those who make it all happen. Closing costs include:

- Attorney's fees (both your attorney and the lender's attorney)
- Title Insurance policies for you and the lender
- Property taxes and homeowner's insurance placed in the lender's escrow account (so that they're available to pay when due)
- Real estate commissions
- Lender fees such as appraisal, processing fees, points, origination fees, land surveys, and interest from the settlement date until your first payment is due
- Deed and mortgage recording fees and mortgage tax

Closing costs vary by location but are typically 3 to 6 percent of your loan, so if you're buying a \$100,000 house, you can expect closing costs to be between \$3,000 and \$6,000. Like the down payment, closing costs must